



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

CANDIDATE
NAME

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CENTRE
NUMBER

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CANDIDATE
NUMBER

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BUSINESS STUDIES

Paper 2

6897/02

October/November 2025

1 hour 30 minutes

Candidates answer on the Question Paper.

Additional material: Calculator

READ THESE INSTRUCTIONS FIRST

Write your name, centre number and candidate number on the spaces provided.

Write in dark blue or black pen.

Do **not** use staples, paper clips, highlighters, glue or correction fluid.

Answer **all** questions.

The businesses described in this question paper are entirely fictitious.

The number of marks is given in brackets [] at the end of each question or part question.

For Examiner's Use	
1	
2	
3	
4	
Total	

This document consists of **11** printed pages and **1** blank page.

HOPEWELL HOSPITAL

Hopewell Hospital is a private sector business that offers a wide range of medical services including out-patient, admissions, dentistry, scans, x-rays, maternity and an eye clinic. The hospital is registered as a public limited company and the Registrar of Companies' Office approved all documents submitted by the company founders. Hopewell Hospital is partially funded (subsidised) by the government as it takes in patients referred by public health facilities. Each day, the hospital receives a large number of patients.

The executive managers of the hospital have noticed an increase in the demand for its services. They have therefore decided to expand its scale of operation. The planned expansion will require the hospital to extend buildings and buy new technological equipment to benefit the patients.

The Chief Executive Officer (CEO) has asked the Finance Manager to analyse the hospital's financial situation to check if the planned expansion would be viable. The Finance Manager has discovered that the expansion could cause cash flow difficulties and other business problems. The Finance Manager has recommended to the CEO to prioritise profit instead of just offering more services.

The Health Ministry is concerned about the low liquidity and performance of the hospital. It has requested that the hospital's Board of Directors allow the Government to nationalise the hospital to avoid a possible closure.

APPENDIX 1

MEMORANDUM

To: Finance Manager

From: Chief Executive Officer

Subject: Request for financial analysis

Please prepare and submit a conclusive analysis of the company's financial performance and liquidity status by end of month.

APPENDIX 2

Extract from the Health Ministry's letter to the Chief Executive Officer of Hopewell Hospital

Concern over Hospital's profitability and liquidity status

The Ministry has learnt with great concern the current financial position of the hospital. May we suggest that proper documents be prepared to advertise the sale of additional shares which will help raise finance for the hospital.

Failing this, the management will be asked to consider nationalisation as an option to save the hospital.

APPENDIX 3**Extract from Hopewell Hospital's financial information**

Items	2024 (E000)	2025 (E000)
Gross profit	120	55
Sales	400	500
Current liabilities	200	220
Current assets	240	120

- 1 The Registrar of Companies' Office approved all documents submitted by the founders of the Public Limited Company.

(a) Explain **two** documents that Hopewell Hospital was required to submit during registration.

Document 1:

Explanation:

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Document 2:

Explanation:

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(b) Do you think operating the hospital as a Public Limited Company is beneficial to its shareholders? Justify your answer.

..... [12

- 2 After a financial analysis, the Finance Manager discovered that the expansion could lead to cash flow problems for the hospital in 2025.

(a) Explain **two** ways how Hopewell Hospital can overcome cash flow problems.

Way 1:

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Explanation:

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Way 2:

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Explanation:

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(b) Do you think buying new technological equipment will benefit Hopewell Hospital? Justify your answer.

..... [12]

- 3 The Finance Manager has recommended to the CEO to prioritise profit instead of just offering many services.

(a) Explain **two** reasons why profit is important to Hopewell Hospital.

Reason 1:

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Explanation

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Reason 2:

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Explanation

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Using information from **Appendix 3**.

- (b) Calculate the current ratio for 2024 and 2025 respectively and evaluate the hospital's liquidity status before the intended expansion.

2024

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2025

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Evaluation

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4 Hopewell Hospital wants to recruit additional doctors and nurses using external advertising.

(a) Explain **two** methods that Hopewell Hospital could use to advertise the vacancies.

Method 1:

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Explanation:

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Method 2:

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Explanation:

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..... [8]

(b) Do you think nationalising the hospital will be beneficial for Eswatini? Justify your answer.

..... [12]

